

Acme Corp Annual Report — Fiscal Year 2024

1. Business Overview

Acme Corp (NASDAQ: ACME) is a diversified technology company focused on enterprise software solutions and cloud infrastructure services. Founded in 2005 and headquartered in San Francisco, California, Acme serves over 12,000 business customers across 45 countries.

In fiscal year 2024 (ending December 31, 2024), Acme delivered strong revenue growth of 18.4% year-over-year, driven by expansion in its SaaS segment and continued adoption of its cloud infrastructure platform. Net income increased by 24.7% reflecting operating leverage and disciplined cost management.

Segment Highlights

The SaaS segment contributed \$1,240 million in revenue (65% of total), while Cloud Infrastructure contributed \$668 million (35% of total). Both segments saw double-digit growth compared to the prior fiscal year.

2. Consolidated Income Statement

(In USD millions, for the year ended December 31)

Line Item	FY 2024	FY 2023	YoY Change
Revenue	\$1,908	\$1,611	+18.4%
Cost of Goods Sold (COGS)	\$763	\$660	+15.6%
Gross Profit	\$1,145	\$951	+20.4%
Gross Margin %	60.0%	59.0%	+100 bps
Operating Expenses	\$612	\$540	+13.3%
Operating Income (EBIT)	\$533	\$411	+29.7%
Interest Expense	\$28	\$31	-9.7%
Pre-Tax Income	\$505	\$380	+32.9%
Income Tax Expense	\$101	\$76	+32.9%
Net Income	\$404	\$304	+32.9%
Earnings Per Share (EPS) — Basic	\$4.04	\$3.04	+32.9%
Weighted Avg. Shares Outstanding (M)	100.0	100.0	—

Note 1: Net income margin improved to 21.2% in FY 2024 from 18.9% in FY 2023, reflecting scale benefits in the SaaS segment and reduced cloud infrastructure unit costs.

3. Consolidated Balance Sheet

(In USD millions, as of December 31)

Item	Dec 31, 2024	Dec 31, 2023
ASSETS		
Cash and Cash Equivalents	\$520	\$310
Accounts Receivable, net	\$340	\$280
Prepaid Expenses and Other	\$85	\$70
Total Current Assets	\$945	\$660
Property, Plant & Equipment, net	\$410	\$380
Intangible Assets, net	\$250	\$290
Goodwill	\$600	\$600
Other Long-term Assets	\$95	\$70
Total Assets	\$2,300	\$2,000
LIABILITIES & EQUITY		
Accounts Payable	\$120	\$100
Accrued Liabilities	\$180	\$160
Deferred Revenue (current)	\$210	\$175
Total Current Liabilities	\$510	\$435
Long-term Debt	\$350	\$400
Deferred Revenue (long-term)	\$90	\$75
Other Long-term Liabilities	\$50	\$40
Total Liabilities	\$1,000	\$950
Common Stock & APIC	\$500	\$500
Retained Earnings	\$800	\$550
Total Stockholders' Equity	\$1,300	\$1,050
Total Liabilities & Equity	\$2,300	\$2,000

4. Consolidated Statement of Cash Flows

(In USD millions, for the year ended December 31)

Activity	FY 2024	FY 2023
Net Income	\$404	\$304
Depreciation & Amortization	\$95	\$85
Changes in Working Capital	(\$45)	(\$30)
Cash from Operating Activities	\$454	\$359
Capital Expenditures	(\$75)	(\$60)
Acquisitions	\$0	(\$50)
Cash from Investing Activities	(\$75)	(\$110)
Debt Repayment	(\$50)	(\$50)
Share Repurchases	(\$120)	(\$80)
Dividends Paid	(\$0)	(\$0)
Cash from Financing Activities	(\$170)	(\$130)
Net Change in Cash	\$209	\$119
Beginning Cash	\$311	\$192
Ending Cash	\$520	\$311

5. Notes to Financial Statements

Note 2 — Revenue Recognition: Revenue from SaaS subscriptions is recognized ratably over the contract term. Professional services revenue is recognized as services are delivered. The company adopted ASC 606 effective January 1, 2019 with no material retrospective adjustments.

Note 3 — Debt: The company's \$350 million long-term debt consists of a revolving credit facility with a maturity date of June 30, 2027 at an interest rate of SOFR + 1.5%. The company repaid \$50 million during FY 2024, reducing the balance from \$400 million.

Note 4 — Goodwill: Goodwill of \$600 million relates entirely to the acquisition of DataSoft Inc. in fiscal year 2021. No impairment charges were recorded in FY 2024 or FY 2023. The company performs its annual goodwill impairment assessment in Q4.